

Appearance. Switch to the weekly scale when searching for diving board patterns because these are long-term patterns. Price moves horizontally, forming the board, often having a flat bottom, but ignore the appearance of the top.

Table 25.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price moves horizontally, forming a flat base followed by a sharp plunge. Use the weekly scale, but this pattern will appear on the daily charts, too.
Board	This is the support region before the plunge, and it does not include the plunge.
Plunge	Deep plunges tend to result in better performance than smaller ones. However, I didn't set a minimum depth for the plunge.
Volume	Upward.
Breakout direction	Upward. A breakout occurs when price closes above the top of the board (above the highest price in the pattern).
Duration	The average width of the board (not including the plunge) is over 5.5 months long, and the duration from start of the board to the bottom of the plunge is 7 months. Avoid short boards.